Glossary

Asset Things that someone owns that can be used as a resource, such as money, property, or equipment. Money that is to be received, including future payment for goods, or an outstanding debt, is also considered an asset.

Austrian School Founded by Carl Menger in the late 19th century. This school of economics attributed all economic activity to the choices and actions of individuals, and opposed *government* intervention.

Balance of payments The total of all money entering a country from abroad for *exports* less all money going out to pay for *imports* over a set period of time.

Balance of trade The difference in the value of a country's *imports* and *exports* over a period.

Bankruptcy A legal declaration that an individual or a company is unable to repay their *debts*.

Barter A system of exchange in which *goods* or *services* are exchanged to pay for one another directly, without the use of a medium of exchange, such as money.

Bear market A period of decline in the value of *shares* or other *commodities*. The opposite of a *bull market*.

Behavioral economics A branch of economics that studies the effects of psychological and social factors on decisions.

Bond A form of loan used to raise *capital*. Also known as securities, bonds are issued by a *government* or company in return for a sum of money; the